Apple’s War On OpenAI Just Got Personal

Podcast: prof G markets

AI Executive Summary

Core Thesis The episode explores the escalating legal and economic volatility within the high-stakes AI and space technology sectors, focusing on two primary tensions: the intense trade secret litigation between Apple and OpenAI that threatens future hardware ecosystems, and the precarious financial stability of "frontier" AI companies (like SpaceX and Anthropic) which exhibit massive revenue growth but remain burdened by extreme customer concentration, heavy debt reliance, and unsustainable computing costs.

Key Arguments & Data * Apple vs. OpenAI Litigation: * Apple is pursuing a preliminary injunction to prevent OpenAI from using certain trade secrets and to freeze the work of ex-employees, aiming to potentially derail OpenAI's upcoming hardware launch. * The dispute is characterized as "deeply personal" due to significant talent migration between the two companies, specifically involving high-level executives and designers. * OpenAI’s legal defense has been criticized for being "lawyered"—using language such as having "no interest" in trade secrets rather than explicitly denying their use—which may suggest unintentional information transfers occurred. * **SpaceX Financial Performance & Risk:** * SpaceX reported a 92% year-over-year revenue increase, with all three major segments (space, connectivity, and AI) beating expectations. * Despite top-line growth, the stock fell 8% in after-hours trading following news of massive capital expenditures (CapEx) and increased R&D spending. * **Customer Concentration Risk:** A critical vulnerability was revealed: 38% of SpaceX's total revenue is derived from just two customers (likely the US government and Anthropic). * Strategic pivot: SpaceX is increasingly acting as a "hyperscaler," evidenced by a new partnership with NVIDIA to bring data center computing into orbit. * **The Economics of Frontier AI:** * There is evidence of a "circular" funding loop: Anthropic is reportedly seeking \$36 billion in debt financing from Blackstone specifically to lease AI chips from Google. * This highlights the fundamental unprofitability of the LLM (Large Language Model) business; despite raising over \$132 billion in venture capital, frontier labs are still reliant on massive debt to fund their primary vendor costs (compute). * The long-term viability of the

"AI trade" depends on whether the industry can move from a period of massive, loss-leading infrastructure investment to a period where the application layer generates sustainable profit.

Actionable Takeaways * Monitor AI Hardware Catalysts: Investors should closely track the October 1st hearing regarding Apple’s injunction. A successful injunction could serve as a significant bearish signal for OpenAI's hardware ambitions and a bullish signal for Apple's ecosystem protection. * **Evaluate Concentration Risk in Infrastructure Stocks:** When analyzing companies like SpaceX, look beyond revenue growth to "customer concentration" metrics. The potential departure of a single major client (like Anthropic) represents a systemic risk to the provider's valuation. * **Watch the "Profitability Pivot" in AI:** Shift focus from monitoring LLM capabilities/benchmarks to monitoring operating margins and debt-to-equity ratios in frontier labs. The stability of the entire AI sector relies on these companies breaking the cycle of borrowing money simply to pay their compute vendors.

Full Transcript

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Welcome to ProfG Markets. I'm Ed Elson. It is August 5th. Let's check in on yesterday's market vitals. The major indices climbed with the Dow and the S&P 500 hitting record highs on hopes that the Strait of Hormuz would soon reopen. Brent crude oil dropped below 80 per barrel.

The yield on 10-year treasuries declined. AMD shares dropped more than 8% despite posting record revenues. And finally, Palantir shares popped

almost 30% a day after crushing earnings and raising its outlook. OK, what else is happening? The legal war between open AI and Apple just heated up. Last month. Apple sued open ai accusing the company of stealing trade secrets to build its own ai hardware device at the time apple called the lawsuit quote just the tip of the iceberg then on monday Apple asked a federal judge to borrow OpenAI and two ex-employees from accessing using or disclosing information it claims are trade secrets. Apple also asked the court to fast-track the case, arguing that there is a quote imminent threat to its trade secrets. OpenAI then fired back in a blog post calling the lawsuit quote careless, aggressive and oddly personal.

The company also accused Apple's lawyers of mistakenly emailing the wrong person after confusing two people with similar Asian surnames. OpenAI maintains it has no interest in using another company's trade secrets and says the suit is quote based on false information. The hearing has been scheduled for October 1st. Here to unpack. This drama, we are speaking with Alex Heath, author of the sources newsletter. Alex, it's good to see you. Let's just start with Apple's preliminary injunction, which was filed at the beginning of the week. Then we'll get to OpenAI's clapback, which was equal parts hilarious and important. What is Apple saying here? What are they accusing OpenAI of now? Well, they're basically suggesting that there's more to the story than they've led on previously, that the corruption as they see it runs deeper. And I think most importantly, as you said in the intro, they're wanting a preliminary injunction. I mean, let's be real, Apple's trying to slow open AI down. That's what they're trying to do. They're trying to keep this launch that they have for their first device later this year from happening, derail the whole thing, freeze employees from continuing to work on things.

And that's why I think we saw that open AI response that you talked about. So what do you make of that response? They started with that point about Apple's lawyers emailing the wrong person, and they specifically mentioned that they confused the names of two Asian people, which is, I mean, that seems intentional. It's embarrassing. That's also something you put into a case like this to get people like us to talk about it rather than the merits of the evidence. It's a bit of a distraction. It's like a look over here thing. They're accidentally emailing people. You'll also notice, I'm no

lawyer, but you'll notice like the very specific language OpenAI has used. We have no interest in using trade secrets. Like saying to my wife, like after I snuck a cookie that I have no interest in eating cookies doesn't negate the fact that I maybe ate the cookie, right? These are very different statements. Like you could say, We have not done this, and we're ready to fight this in court. They're not saying this. They're saying we have no interest in this. I think probably both parties have some embarrassing things that they don't want to come out as my read of the situation and the way they're messaging it. It's a very nasty lawsuit. I mean, OpenAI was saying that this way that Apple has approached this has felt oddly personal, and it's like, yeah, no shit. It is super personal to Apple. You hire Johnny Ive.

who ran Design at Apple, you hired as Apple, as Apple has put it, you know, hundreds of ex-employees. Etiqu Sun is working at OpenAI on this hardware. I mean, it is very personal. Everyone knows each other. They go way back and Apple takes these things very seriously. They've been very consistent even back to Steve Jobs on litigating these kinds of things, taking, you know, employee poaching very seriously. suing ex-employees for suspected leaking. This is not out of the norm of them to behave this way. I think OpenAI going, you know, it's they start with saying like how much respect they have for Apple and then saying like this is beneath them. It's a tactic, but it also doesn't speak to like the merits of what Apple has said. And if you look at the texts that OpenAI has produced to try to back up, I didn't see a smoking gun there that, you know, Apple's totally in the wrong here. I just see a lot of He said, she said hearsay, yeah, maybe some ex-Apple employees reached out to the people at OpenAI asking just innocently for stuff back. And Apple is using that to say, oh, OpenAI people are leaking proprietary info or taking it from Apple. There's just a lot of like very messy energy to this that suggests these two companies hate each other. And I haven't seen a smoking gun on either side. I see a lot of like potential room for more embarrassment on each side. And I think you see that even in the way OpenAI has responded. Well, that was sort of what struck me in OpenAI's response in the blog post that they published is I was looking for them to make the actual counter-argument to the claim, but I couldn't find it. I thought I was seeing it when I was seeing all of their accusations because the language was very powerful and very accusatory. But to go with your stealing cookies analogy, it kind of is like...

Hey, no, I didn't steal, or they didn't say I didn't steal cookies. The accusation was you stole the cookies and then the response was like, yeah, well, you didn't do the laundry earlier. Or it's like, I have no interest in the cookies. Maybe I did eat them, but maybe I did it accidentally. And that's like maybe where this lands is like, there were some unintentional transfers of trade secrets and that's bad and Apple's using that to really go for the jugular and slow things down. I would not be surprised if that ends up where this lands. But we don't know, right? Like you and I haven't seen all of the discovery. It hasn't happened. You know, OpenAI is producing these texts. To me, these texts don't really meaningfully move anything forward on the arguments on either side. So I think we'll have to wait and see how Apple responds. You know, it'll be really interesting if this settles or Apple gets the injunction. I mean, OpenAI definitely responded because of the injunction because if that were granted, they'd have to pause work on their first device. I mean, what really is the point of posting this blog if they're not actually addressing the merits of the case. And if it's not going to hold water really in the legal sphere, I mean, I know you're not a lawyer. Well, I don't know. So I don't want to speak to like, I don't know if it'll hold water as someone who's just following the case. To me, I didn't see a strong rebuttal. I did see, you know, like Hocktan, like the most senior person that they're accusing at OpenAI, the former Apple leader.

Um, you know, I did see open AI have a very simple blanket. Like he always told people not to give him trade secrets kind of response. Didn't address like any specific, I mean, Apple's very specific about how open AI employees allegedly coerced information out of people. And open AI didn't get into detail on that in its response. It was very blanket. And again, this like we have no interest. It's not the same as saying you didn't do it. really important. And it's like very, very specifically lawyered. And I've seen much forceful responses where, you know, usually the standard is like, oh, this is Merrill-less. We believe this case is Merrill-less and we look forward to defending it in court, right? You're not seeing that here. You're seeing a lot of like, why is this so personal? We have no interest. Like, It's very, it's very like teenage angsty. Yeah. It's really interesting. What do you think this means for the launch of this hardware device? I mean, where do we even stand on this hardware device that's been, that OpenAI has been working on? Is that still happening? I mean, the latest I've heard and that others have

reported is they definitely are on track for an unveil sometime later this year of the first device, which is supposedly going to be this kind of Alexa home pod like AI speaker with a bunch of sensors.

on it that kind of sits at your desk or goes on a table and ambiently takes in the environment, maybe even interrupts you, essentially has like an AI personality, maybe your AI chief of staff kind of in a way and takes on the world around you. And then obviously they have a family of devices they've said they're working on. I think we're going to see probably some kinds of earbuds, maybe a wrist thing, some glasses. They're not going to do a phone. But I'm sure Apple would love to slow down, you know, the release of this. I mean, I think Scott has been saying that as well, that it's worth probably the legal fees just to introduce chaos into this very competitive moment. Whatever open AI though is putting out in the fall, It's not going to cannibalize iPhone sales. So there's no like near-term risk to Apple here. I think it's more of like the principle that Apple feels very betrayed. And yes, it's clearly very personal. You know, Hock Tan, the most senior executive at OpenEye, they're accusing of leaving Apple and taking secrets and coercing for secrets. You know, used to work very closely with John Ternus, right? The new CEO of Apple incoming. Like these people go way back.

And so it's also very telling, I think, uninteresting that Johnny Ive is not named in the suit. I mean, I know that's been discussed before, but he continues to stay out of it, which to me suggests there's some kind of blanket agreement there that I'm not reporting this. I'm just speculating that, you know, there's an intentional reason he's been left out of it. And maybe it doesn't mean that he's not implicated, but Apple isn't able to include him. Say the preliminary injunction is granted, Apple wins that and the hardware launch is at the very least put on hold or maybe even just canceled. How bad would that be for open AI? How important is it to them? Very bad. If there's any traction of Apple winning an injunction, you're going to see my prediction. You're going to see open AI go full court press on this and make a big mess of it.

and do a bunch of oppo messaging against this. It matters a lot. There's a lot writing on them getting hardware right. It's a personal kind of thing for Sam

Altman and Johnny, and they spent over 6 billion on acquiring Johnny's hardware team. They've been working on this stuff. It would be very bad. All right. I'll see how things unfold. Alex Heath is author of the sources newsletter. Alex, always appreciate your time. Thank you. Thanks, Ed. After the break, a first look at SpaceX earnings. And for even more, Markets Insights, you can subscribe to my weekly newsletter, simplyputt at simplyputt.profitmedia.com. Support for the show comes from Noom. Most journeys don't travel in a straight line. There are ups and downs, peaks and valleys. Wayloss can feel the same way. Often losing the weight is only half the battle.

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and all three business segments, space connectivity and AI, beat expectations. Just half an hour before the results came out, SpaceX also made a separate announcement, a partnership with Nvidia. The two companies are working together in an attempt to put data center computing into orbit. SpaceX stock initially had risen roughly 10% yesterday in anticipation of the earnings. However, after the earnings came out in after hours trading, the stock fell 8%. So here to break down SpaceX's first quarter of publicly reported earnings. We're speaking with Nicholas Owens, equity analyst at Morningstar. Nicholas, thanks for joining us. This was better than analysts had expected on the revenue side, also on the operating income or loss side. What do you make of this quarter for SpaceX? I think you're referring to Consensus. They actually came in 200 million light on my revenue and operating margin forecast. I'll say that one grain of salt is that we don't have a, first of all, it's a quickly kind of pivoting business and we don't have a...

sense of like what the seasonality of this business is in terms of what's a normal Q2 look like. So I don't think there's a huge much to be made there. They also spend about 11 billion more in CapEx than I forecast. So I think the anticipation was for a good quarter and that's what they delivered. The big delta really is in the acceleration of AI revenue and these rental agreements, which I think we've talked about. And those were mostly announced along with the IPO. So I actually think the announcement about the partnership with NVIDIA has some interesting nuance in that previously they had said they wanted to make custom chips, which is what I

understand to be kind of the long-term trend that a lot of people who want to build out all this AI infrastructure, they want to tailor the chips to their computation and their algorithms and so forth. The comments today where we really like these NVIDIA chips, we think they're the best ones, I think that is almost like a, we're going to buy those chips and rent them out. And it's less of an emphasis on the tailoring to GROC. In terms of your expectations for capital expenditures, I mean, what do you make of the money losing side of this business. I mean, they have reduced their losses compared to last quarter. Last quarter, the losses were insane. This quarter, the losses are still crazy, but seemingly less insane. What do you make of the spending relative to the amount of money that they're actually generating on the revenue side?

Well, a lot of what they're spending is still classified as R&D. I mean, I saw a few of the line items, even for SG&A, go up. Admittedly, the CAPEX doesn't show up in the income statement, but the spending generally. So let's say R&D and CAPEX together, you can think of those as investments in the future of the business, which they're doing hand over fist, which is appropriate for this type of project. And again, I think it's lumpy. You know, I think they they almost pulled forward a lot of their R&D type spending and they had you'd like you said extremely low margins high spending last year And so in a way we're looking at almost favorable comparison post IPO the overall level I mean we don't expect them really to make much money for a while It seems like the story of this company is kind of morphing into the story of any other hyperscaler which is that the entire thing depends on the AI thing. And the potential for AI to work is an open question. That's where they're generating most of their growth. That is kind of what they say that the company is going to be about. It's going to be about AI. But also that is where the losses are stacking up. And when we look at how sustainable their business actually is, it seems like the reason that their losses were a little less bad than they were before is because their AI revenue increased. And the reason that AI revenue increased is probably because they inked a deal with Anthropic. And then that's why I was very interested to see a disclosure that they included, which was their customer concentration risk. And what they told us is that 38% of the company's entire revenue comes from two companies, which they said were customer A, which makes up 18% and customer B, which makes up 19.5%. I assume

one of those customers is Anthropic and that's basically the bulk of their AI revenue. And maybe the other customer is the US government. I'm seeing headlines today that Anthropic is borrowing or in talks to borrow nearly 40 billion from Blackstone in order to buy compute from Google. So does that mean they're going to have to borrow tens of billions of dollars to keep buying compute from SpaceX?

Probably, I mean, they're probably going to have to keep borrowing. They're going to have to keep raising money because clearly the profitability isn't working, at least on the frontier side of things. So it does seem to me at least that there is a real risk that you could have randomly in one quarter, 19% of your revenue disappear overnight and suddenly the entire AI thesis is gone. Or at least that's the concentration risk right now. Just looking at the price, the stock has come crashing way down from its highs of 225 per share. It was cut in half. That was one of my predictions. I'll ring the bell. We're now at a more reasonable place, but certainly not anywhere close to your fair value estimate before the IPO of 62 per share. It would need to get cut in half again. What do you make of the valuation at this point today?

still seems high and I have no reason based on today to change my fair value. As we move forward and let's say gain new information about some of these market dynamics, I think the scenario you're talking about, maybe to quote Elon Musk, there's a non-zero chance that that anthropic rent goes away. So you have to sort of keep that in mind. And I think the scenario in which you're describing is really sort of some kind of a collapse, right? A house of cards falling down or some, you know, all these cross funding deals being unwound. I'm thinking more along the, I'm kind of giving a little, trying to be a little more, let's say middle of the road and say in a model where, or in scenarios where Right now, we're in this gold rush, this fantastical race to spend and invest and build and create, even when the business model hasn't proven out or the profitability isn't there. I think a lot of people are working on this assumption or the mental model put forth by the head of NVIDIA that there's this five layers cake of value and that over the very long term, the value should accrue to the top.

two layers. So that's products and apps, which today looks like Anthropic. Even though that's not happening in terms of their bottom line, that's the theory. So it really boils down to what we think AI is and isn't going to do for people. If it's just going to become a plug into everybody's computer, sort of like Microsoft Word was, and everyone's expectation of other people's productivity goes up. that's one scenario that I think is plausible. It's not the one most people are talking about where they're talking about hundreds of millions of people being displaced and all this other stuff. But even with your middle of the road analysis where you assume that there wouldn't be some form of collapse that the value would accrue to the application layer, i.e. the open AIs and the anthropics, even in that assumption, you still value the company at half of where it is today. You value SpaceX.

a half of where it is today. That's correct. And that's running scenarios where mostly they are making money like they are now on these, let's call them economically attractive or generous rental deals. It has to really, really scale up for it to work out is that if the LLM that SpaceX has takes off and starts consuming more of their own computing capacity, Ironically, these rental incomes that they might otherwise be able to charge. They have to keep making more of it, and that costs money. I saw a headline the other day that they're buying land in somewhere, Arizona, like another Colossus-type installation. I think on the call that they talked about how many gigawatts they plan to have by the end of the year and by the end of the decade, and that implies more terrestrial investment.

They're continuing to expand that footprint. Eventually, they want to do it in space. They have to do that really fast for them to be able to have their cake and eat it too, have a very broad-based adoption of the LLM that they own, so to speak, as well as renting out to the market. Nicholas Owens is a critique analyst at Morningstar. Nicholas, we appreciate your time. Thank you. Thank you. Blackstone is in early talks to provide 36 billion in debt financing to Anthropic. This is according to reporting from Bloomberg. The loan will be used to fund Anthropic's leasing of AI chips from Google, which would imply that Anthropic doesn't have enough money to buy compute from Google on its own. So it has to borrow billions of dollars from Blackstone, which is quite remarkable.

when you consider how much money Anthropic has already raised. The company has received roughly 132 billion in venture funding so far, and it's also borrowed another 35 billion just a couple of months ago, which basically means that 167 billion isn't enough money to cover their costs. They need more. It's also quite remarkable when you consider the company that already invested billions of dollars into Anthropic, specifically Google. Yes, Google committed to invest up to 40 billion in Anthropic back in April with an immediate cash injection of 10 billion, which means that even the money that Google wired to Anthropic so that Anthropic could buy Google's chips, even that wasn't enough. Anthropic needed more. Why does this matter? Well, because it shows you just how financially unstable these frontier labs really are, despite The rumors that Anthropit was about to hit operating profitability, all the signs are telling us that the company is still losing money and lots of it. So much money that even the money they were given by their vendor wasn't enough to cover the cost of sending that money back to them. Now they're having to borrow to the tune of tens of billions of dollars. The takeaway is quite simple. Despite the hype, the LLM business is still a highly unprofitable business.

And if open AI and Anthropic cannot resolve that problem, then the collapse of this AI trade won't be a question of if. It'll be a question of when. OK, that's it for today. This episode was produced by Claire Miller and Alison Weiss and engineered by Benjamin Spencer. Our video editor is Brad Williams. Our research team is Dan Chalon, Chris Nodonahue, and Mia Silverio. And our social producer is Jake McPherson. Thanks for listening to ProfG Markets from ProfG Media. If you liked what you heard, give us a follow. I'm Ed Elson. I will see you tomorrow. The UK emissions trading scheme is expanding into maritime. That changes the picture for shipowners trading in the UK. In our latest podcast episode, I explain what UK ETS means in practice from new reporting requirements to cost exposure and how these changes could affect your operations.

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